Article | 17 June 2026

FX RATES UNITED STATES

Hawkish shift opens the door to Fed rate hikes

A clear hawkish shift from the Fed sees the committee split down the middle on whether they will hike rates or not this year. Sharp energy price falls are good news though, and we think an extended pause is the most likely outcome

The Federal Reserve left interest rates unchanged in Kevin Warsh's first meeting as Fed Chair

Markets acknowledge the prospect of higher policy rates

The Federal Reserve has left monetary policy unchanged at Kevin Warsh's first meeting as Chair. It was a unanimous decision given that arch-dove Stephen Miran had made way for Warsh to join the Board of Governors, while the clear adjustment to the tone of the much cut-down press release was sufficient to bring the three hawkish dissenters from May onside. In a message to leave no doubt in investors' minds over the inflation fighting credibility of the central bank, the statement concluded: "the Committee will deliver price stability".

The even more obvious hawkish shift was seen in updated Fed forecasts. The new "dot plot", has 9 of 18 members pencilling in a rate hike versus zero in March, which shows the Fed has gone well beyond signalling "two-way risk" on interest rates, to a clearly more hawkish position.

One member is, in fact, predicting three 25bp hikes over the coming six months; five members are going for two hikes and three are going for one hike. Eight expect no change with just one forecasting a rate cut this year. There are only 18 dots versus the usual 19. As broadly expected, Kevin Warsh decided not to enter a prediction having said in the past that the Fed's record was "abysmal" and that he saw little value in it. He added at the press conference, “I can’t give you any guidance on what we’re going to do next."

As such, the median is now for one hike this year, but then a cut next year with a further cut in 2028 before settling at a 3.0-3.25% range over the longer term.

Fed projections versus the previous expectations from March

	2026	2027	2028	Longer run
Change in real GDP (4Q YoY%)	**2.2**	**2.3**	**2.2**	**2.0**
Previous Fed projection (Mar)	2.4	2.3	2.1	2.0
Unemployment rate (% year end)	**4.3**	**4.3**	**4.2**	**4.2**
Previous Fed projection (Mar)	4.4	4.3	4.2	4.2
Core PCE inflation (4Q YoY%)	**3.3**	**2.5**	**2.1**	**-**
Previous Fed projection (Mar)	2.7	2.2	2.0	-
Federal funds rate (year end)	**3.8**	**3.6**	**3.4**	**3.1**
Previous Fed projection (Mar)	3.4	3.1	3.1	3.1

Source: Federal Reserve, ING

The table above shows the Federal Reserve's updated median forecasts versus what they were saying in March. They are a little more upbeat on GDP growth for fourth quarter 2026 than the consensus (2.2% versus 2%), but more worried about inflation than the consensus (core PCE deflator at 3.3% versus the 3.1% consensus).

Kevin Warsh, appointed by a President demanding rate cuts, may well face some criticism after this. Nonetheless, his emphasis on needing to prevent second-round price effects will help to keep the long end of the yield curve anchored. This is, in fact, more important for the President’s growth strategy by keeping a lid on mortgage and corporate borrowing costs while also limiting the upside for government interest costs.

An extended pause from the Fed remains our call

Markets are now pricing 32bp of rate hikes this year, with a cumulative 42bp by this time next year, versus 19bp and 33bp respectively ahead of the release. Nonetheless, we look for an extended pause of perhaps 12 months.

With a deal set to be signed imminently to reopen the Strait of Hormuz, energy prices have fallen sharply. $76/bbl WTI oil is consistent with gasoline prices falling to $3.75/gallon after having peaked at $4.60. That should help lead to an outright month-on-month % drop in headline prices for June. It will also relieve pressure on airline fares and freight rates within the inflation data, while also easing the squeeze on household spending power.

While recent jobs numbers have been firmer, consumer confidence is rock bottom in an environment where real household disposable incomes are languishing. Consumer and market inflation expectations remain in tolerable ranges and slowing housing rents, weak wage growth and a waning influence from tariffs should, we believe, gradually ease the concerns of the Fed.

The Treasury curve shifts higher and flatter, but the curve structure remains benign

Impact reaction to the FOMC outcome was a flatter curve, led by the front end. That bit is straightforward, given the change in tone from the FOMC as a whole, and the upshift in the median dots. The 10yr yield is up, back to the 4.45% area, and rising. What's interesting is the breakout of this, as the breakeven inflation rate fell, while the real rate rose. The aggregate rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation.

This has been a key theme in the past few months – ongoing upside to real rates, alongside falls in inflation expectations. In fact, breakeven inflation is on aggregate quite tame. Printed inflation is in the 4% area, while the 10yr breakeven is just under 2.3%. And in fact, breakevens remain tame right along the curve. Our bottom line view from all of this is that long-dated yields are liable to remain sticky to the upside (breakevens are already tame and real yields are on the rise, or at the very least holding steady).

The hawkish tilt is classically not good for the front end, and theoretically, it can be a calming influence for the back end, on a theory that the Fed is showing some preparedness to take action, if needed, to help tame inflation. The overall outcome of a flatter curve based on this is straightforward. We still worry that the 10yr yield can drift higher from here, to the 4.5% area and above. That said, the 5yr area has richened further slightly, showing the market is not fully bought in on rate hikes being a dominant theme in the coming quarters.

Beyond that, we had expected something on balance sheet management, but little to nothing on this. The bill-buying programme continues, and the ample reserves environment is sustained. It seems that the balance sheet reduction project is all being left to another day.

Dollar enjoys commitment to price stability

After this week's large fall in energy prices, FX markets probably went into today's FOMC meeting with a neutral bias. In the end, the outcome was clearly hawkish with a slimmed-down statement refocusing on price stability, a rate hike in the dot plot and a few references to the Fed having missed its inflation target for five years running.

The dollar took its cue from the 10bp bearish flattening in the US yield curve and rallied around 0.5% on the news that the Fed is prepped to tighten. Also welcome for the dollar is the read-out for US asset markets, where stability at the long end of the bond market and equities reversing intra-day losses suggest buy-side investors appreciate the renewed commitment to price stability.

That commitment also serves to deflate interest in the dollar de-basement trade, which last year had seen gold, bitcoin and the likes of the Swiss franc rallying on the view that a captured Fed could go soft on inflation. That looks far less likely after today's FOMC meeting. Gold is off 2.5% on the news and USD/CHF up around 0.7%. These trends can extend.

A hawkish Fed can keep EUR/USD pressing 1.1500 this summer, with the risk of a temporary break lower should any US activity or price data briefly push market expectations towards 50bp of tightening this year. Japanese authorities must now be bracing for higher levels in USD/JPY – perhaps into the 162/163 area – before another round of intervention is due. But the already slim chance of effective dollar selling intervention just got slimmer.

Author

James Knightley
Chief International Economist, US
james.knightley@ing.com

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

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Article | 16 June 2026 HEALTHCARE

How technology could cut millions of hospital visits across Europe

Remote care offers European hospitals a rare combination: fewer avoidable visits, better care and more capacity in a tight labour market. As staff shortages intensify and demand keeps growing, the technology is becoming a critical solution to mounting pressures

Remote monitoring is gaining ground as technology improves, with devices that measure weight, heart rhythm, blood pressure, blood glucose levels and more

Remote healthcare: at a glance

- Amid severe staff shortages in the healthcare sector across Europe, remote care can ease the pressure on hospitals.
- Remote monitoring is gaining ground as technology improves, with devices and wearables that measure weight, heart rhythm, blood pressure, blood glucose levels, oxygen saturation and lung function.
- Evidence shows that remote patient monitoring has more benefits than drawbacks: improved patient mobility, lower hospital admissions and shorter hospital stays.
- We estimate that roughly 50% of hospital care is suitable for hybrid care using

some form of remote patient monitoring.
- That means millions of hospital visits could be avoided across the EU with the adoption of remote healthcare.
- But broad scale-up in Europe is slow, and the four largest EU countries are falling short.
- Policymakers can accelerate scale-up through three levers.

Healthcare providers under pressure

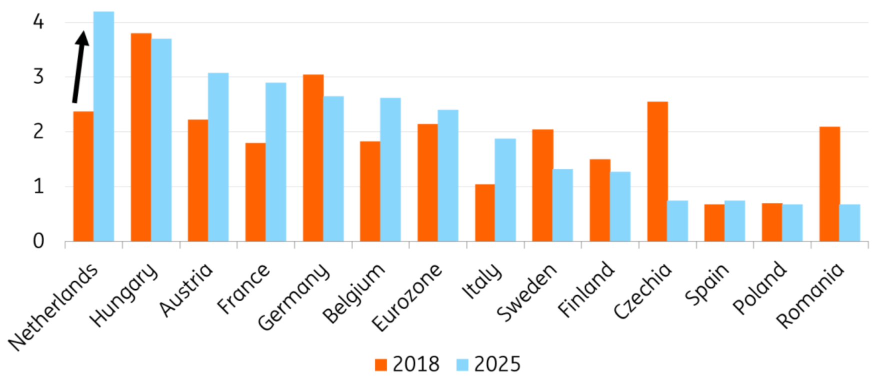
More people are working in healthcare in the EU than ever before, yet staff shortages continue to worsen. An ageing workforce is a major factor, compounded by heavy workloads that drive higher sickness absence and staff turnover.

The WHO expects the staffing gap to more than double over the next 15 years, exceeding 4 million workers by 2030. At the same time, demand for care is rising as populations age and chronic conditions become more prevalent, while expectations around quality continue to increase.

Against this backdrop, technology that can ease the pressure on healthcare providers is becoming an absolute necessity.

Healthcare staff are increasingly difficult to find in Western Europe

Average vacancy rate in the healthcare sector (number of vacancies per 100 jobs)



Source: Eurostat

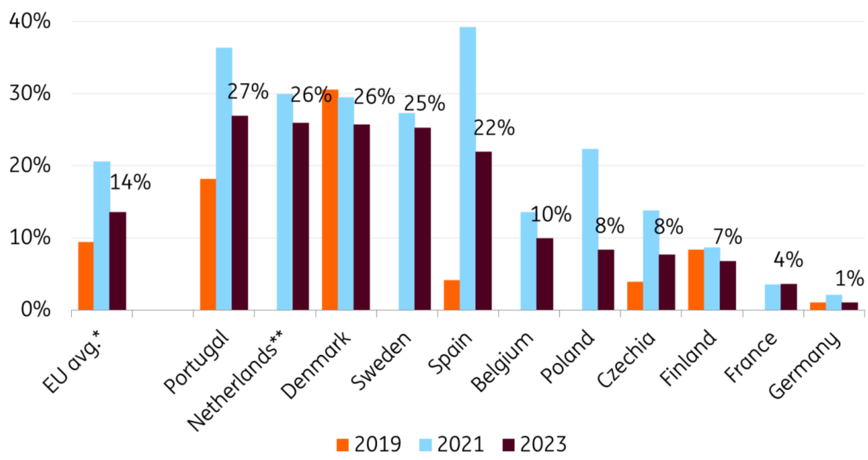
Covid-19 accelerated the use of digital care

Digital technology makes healthcare less dependent on location, a shift that accelerated during the Covid-19 pandemic. As waiting rooms emptied, doctors quickly switched to phone calls, video consultations and email. While teleconsultations have declined since then, they still accounted for an average of 14% of all consultations in 2023 – well above pre-pandemic levels.

That said, adoption varies widely across Europe: 22-27% of consultations are remote in countries such as Portugal, the Netherlands, Denmark, Sweden and Spain, compared with just 4% in Germany and 1% in France.

More teleconsultations than before the pandemic

Share of teleconsultations in the total number of medical consultations



Source: Eurostat

*Approximate EU average based on available country data; **Netherlands based on DHD, Nov. '25

Remote monitoring offers major benefits for patients and hospitals

Modern technology has made it possible to both consult patients remotely and to treat them outside the hospital. Through remote patient monitoring – also known as remote monitoring or remote patient management – hospitals can offer patients more comfort and convenience, while reducing stress, travel time and travel costs. This can be particularly valuable for people with limited mobility or patients who live far from a hospital.

Continuous monitoring by patients or community nurses enables doctors to make better-informed decisions and respond more quickly when conditions worsen. Involving patients more actively can also boost their engagement.

For hospitals, the key gains are reduced pressure on staff and more effective care. By limiting visits to cases where measurements or symptoms warrant it, both consultations and admissions per patient fall. This allows remote patient monitoring to boost capacity and treat more patients. Meanwhile, the expanding stream of data offers a rich source for analytics and research, supporting better‑targeted care.

Remote monitoring is gaining ground as technology improves

Remote monitoring is gaining ground thanks to improvements in measuring devices and internet connections, as well as growing acceptance of digital care solutions among patients and hospitals.

Healthcare providers use mobile devices and digital platforms to carry out medical tests manually or automatically, wherever the patient is. Depending on the treatment, patients use one or more devices at home to regularly measure specific health indicators and share them with their doctor or nurse through medical apps. This may include devices or wearables that measure weight, heart rhythm, blood pressure, blood glucose levels, oxygen saturation or lung function.

The benefits increasingly outweigh the negatives

Scientific research, international case studies and our interviews with experts show that the benefits of remote patient monitoring increasingly outweigh the potential drawbacks, such as limited digital skills or difficulties in taking and recording measurements independently. Another barrier is the investment needed in devices, platforms, maintenance, training and changes to workflows and treatment pathways, while reimbursement for hybrid care using remote monitoring remains unclear or insufficient in many European countries to cover start-up costs.

An increasing number of benefits are strongly supported by scientific evidence. Review studies show that remote patient monitoring can improve patient safety and treatment adherence. It also has positive effects on patient mobility and the ability to perform daily activities. For healthcare providers, remote monitoring lowers hospital admissions and shortens the average length of stay.

Case studies also show improvements in patient satisfaction. A survey by the Dutch patients federation indicates that nine out of 10 Dutch patients are positive about it. An international study suggests that when patients in areas with limited healthcare provision can return home earlier thanks to remote monitoring, total healthcare and travel costs fall by around 27% on average.

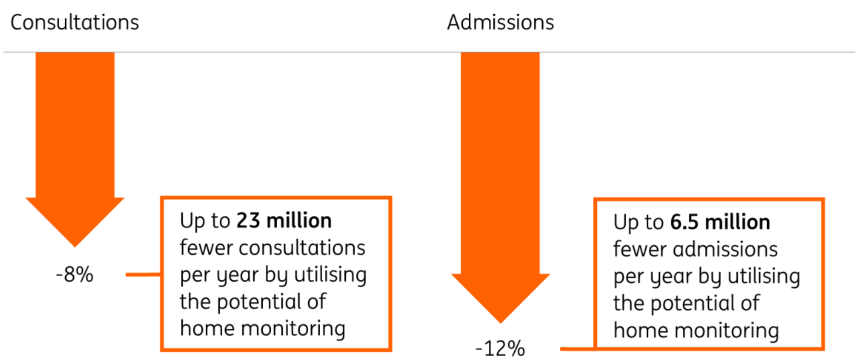
Millions of hospital visits could be avoided

Based partly on expert interviews, we estimate that roughly 50% of hospital care is suitable for hybrid care using some form of remote patient monitoring. This includes both long-term monitoring for chronic conditions such as COPD and diabetes, and short-term monitoring, for example after early discharge following a procedure.

We expect that around half of these patients would be able and willing to use it, meaning that about 25% of all hospital patients could be eligible for remote monitoring.

An analysis of 35 scientific studies shows that remote monitoring reduces hospital admissions by an average of 50% and consultations by 35%. If all eligible patients actually participate and new care pathways deliver similar average results, total hospital admissions could fall by more than 12% and consultations by more than 8% compared to a situation without remote monitoring. Across the EU, that would mean avoiding roughly 6.5 million admissions and 23 million consultations.

Substantial decrease in hospital visits upon utilisation of home monitoring potential



Source: ING Research

Remote monitoring can play an important role in prevention

To slow the growth in demand for care, prevention and effectiveness will need to play a bigger role in what hospitals provide. The focus is shifting from medical intervention itself to guiding people towards healthier lives. This means more accessible care facilities in local communities, closer cooperation with social organisations to address issues such as debt or addiction at an early stage, and giving patients a more active role through lifestyle interventions and by measuring and sharing health data themselves as part of their treatment.

Health promotion and disease prevention, like digital transformation, are part of the EU4Health programme launched after the Covid pandemic, which makes more than €5bn available to strengthen public health and healthcare in Europe between 2021 and 2027.

The US is the pioneer and frontrunner

Remote patient monitoring is currently most widely used in wealthy countries with large, sparsely populated areas. The US is the frontrunner. Well before the pandemic, virtual consultations, remote intensive care and care and monitoring at home already played an important role at major US healthcare providers such as Cleveland Clinic, Mayo Clinic, Kaiser Permanente and Mount Sinai Hospital.

Growth accelerated when Medicare started reimbursing remote monitoring for chronically ill patients in 2019. In 2022, this reimbursement was extended to monitoring recovery treatment at home, such as tracking home exercise programmes for musculoskeletal conditions.

As a result, telemedicine is increasingly becoming the norm in the US for rehabilitation and post-operative monitoring. The Peterson Center on Healthcare notes that spending under traditional Medicare on monitoring chronically ill patients has risen rapidly, from $6.8m in 2019 to $194.5m in 2023.

The UK and Scandinavia are furthest ahead in Europe

Remote patient monitoring is also gaining ground in Europe. By 2022, it was already being used in 39 of 51 European countries. Comparable data is limited, but the rollout has generally been slower than in the US and varies widely by country.

The UK was one of Europe's pioneers, with a large-scale and uniform approach. British virtual wards use remote monitoring, digital platforms and local medical teams to treat patients outside of hospital. This model was rolled out quickly during and after the Covid pandemic, supported by central funding. Since that specific national funding was discontinued, growth in the number of virtual wards and remotely monitored patients in the UK has stalled.

Scandinavia was also an early mover. The Danish government launched an action plan for the nationwide rollout of telemedicine as early as 2012. Since then, remote monitoring has become the standard care pathway for people with severe COPD, with expansion to other chronic conditions now underway. Finland, Norway and Sweden have also made significant progress in telemedicine and remote patient monitoring, especially in response to the pandemic.

Regional innovators can help accelerate scale-up

The Covid pandemic can be seen as an external shock that gave the adoption and scaling of remote patient monitoring a one-off boost, before momentum slowed again as conditions normalised.

But Europe still has ample room for regional innovators that can gradually inspire wider adoption. Charité in Berlin, the highly regarded and largest university medical centre in Europe, aims to conduct 50% of its consultations remotely by 2030.

NHS Greater Glasgow and Clyde is continuing to expand hospital-at-home care with advanced monitoring, treatment and multidisciplinary support at home.

Karolinska in Stockholm recently signed an eight-year contract with technology partners, including Philips, to provide remote monitoring and digitally connected care pathways for more than two million residents.

Although these initiatives remain fragmented, they can serve as examples and catalysts for further scale-up. The same applies to a large five-year European project launched in January 2026, which aims to improve the quality and scalability of remote monitoring.

Broad European scale-up is slow, and the four largest EU countries lag

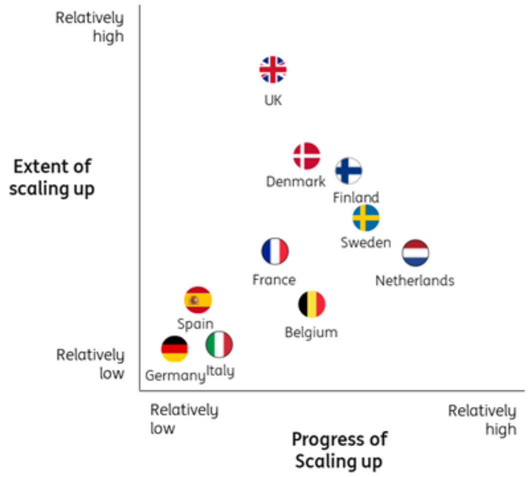
The four largest EU countries are not among the frontrunners. Germany has a strict separation in regulation and funding between hospital care and ambulatory care. Remote monitoring for heart failure is used on a limited scale, but for new areas of application it is still largely restricted to patients in care homes, while hospitals have to rely on funding from an innovation fund.

In France, following the successful ETAPES experiment, telemonitoring for several conditions is fully reimbursed by the national health insurance system. However, actual patient participation still appears to be rising only slowly.

Italy is also behind, but in 2023 it launched a large-scale digital care renewal programme using funding from the EU recovery fund. A national telemedicine platform now supports and coordinates a regional network offering various digital services, including remote monitoring. Spain has regional initiatives, but no national programme for remote monitoring yet; adoption depends on the priorities of local health authorities.

Home monitoring most advanced in UK & Scandinavia, fastest-growing in the Netherlands

Schematic overview of home monitoring development by country



Source: ING Research

Less centralised direction and financial support slow adoption and scale-up

Differences in adoption and scale-up between countries partly reflect differences in regulation and reimbursement for remote monitoring. Another decisive factor is the way healthcare systems are organised. Countries with one strong central delivery organisation, such as the UK, have more capacity to scale innovations. The same applies to countries with one strong regional provider and only a few delivery regions, such as Denmark.

The rest of Scandinavia, and especially France, Spain and Italy, have more fragmented healthcare systems with multiple regions and therefore relatively many regional delivery organisations. Central direction is weaker, making rapid scale-up more challenging.

Other systems also have more national or regional competition, including the Benelux countries, Germany, Czechia, Slovakia, Austria and Switzerland. In these systems, scale-up is often slower than desired, especially when financial incentives are limited. A 'not invented here' attitude often plays a role. Different scale-up initiatives can still lead to wider adoption, but usually in a more fragmented and slower way.

The Middle East and Asia are also gaining ground

Remote monitoring and wider digital care are also gaining traction outside Europe and

North America. South Africa's largest Health Maintenance Organisation, which combines health insurance and care provision, recently partnered with Dutch and Swedish e-health companies to strengthen its care-at-home services.

Countries such as China and India are increasingly using large telemedicine platforms that integrate remote monitoring, AI-supported care and virtual consultations to serve remote areas better and improve care outcomes.

The Middle East is also building on opportunities that became clearer during the COVID-19 pandemic. Israel is a frontrunner in digital care: its integrated HMO model, broad coverage of electronic patient records, innovative hospitals and local medtech companies all support innovation. Sheba Medical Center, Israel's first virtual hospital, offers patients hospital admission, rehabilitation programmes, cardiac rehabilitation and telemonitoring at home.

Another advanced example is SEHA Virtual Hospital in Riyadh, Saudi Arabia, known as the world's largest digital hospital. It provides primary and secondary digital care for more than 224 hospitals and facilitates more than 16 million virtual appointments a year. It also offers remote monitoring at scale and improves preventive interventions by using AI to create a digital twin – a virtual replica of a person's health that can predict potential health problems.

Dutch medical service centres are supporting scale-up

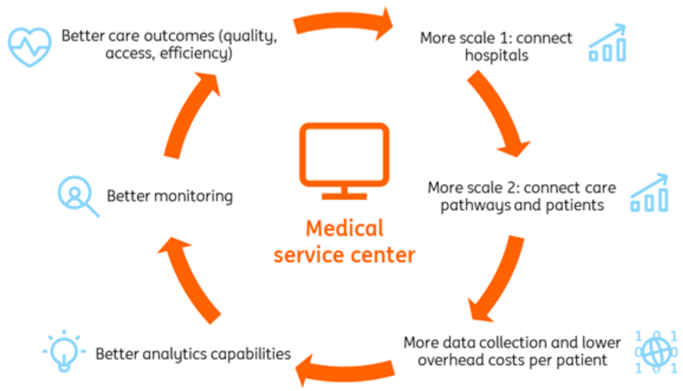
The Netherlands has made significant progress in remote patient monitoring in recent years, supported by five factors: broad experience built up over time, the scaling of national medical service centres, support from health insurers, relatively severe staff shortages, and more than €2bn in government funding for healthcare innovation linked to national implementation agreements.

This momentum has also accelerated the growth of nationwide medical service centres. These centres continuously monitor data and signals from patient apps used by affiliated healthcare providers and ensure patients can quickly be referred to the outpatient clinic of the relevant hospital when abnormalities occur.

'Zorg bij jou', a service centre set up by the eight top clinical Santeon hospitals, grew from virtually zero to 33,000 monitored patients in three years by the end of 2025. In 2026, it aims to grow further to 50,000 patients by connecting more hospitals and applying remote monitoring to more care pathways and to more patients within each pathway. This nationwide growth improves efficiency and quality, as fixed costs are spread across more participants and more monitoring data becomes available for research.

Success of medical service centre leads to accelerated scaling

Schematic scaling cycle for home monitoring via a shared medical service centre



Source: ING Research

A clear strategy and sufficient scale make expansion easier

Scaling remote monitoring within an organisation starts with a clear vision from hospital leadership. A clear plan for more hybrid care is needed to bring staff along. Sufficient financial strength and scale are also essential to carry the costs, make investments worthwhile and properly support staff. Given the relatively small size of many European hospitals, cooperation or mergers with other providers are often necessary.

Policymakers can accelerate scale-up through three levers

Labour shortages are not always enough to trigger timely action. Policymakers can accelerate scale-up through three routes: stronger central direction, supportive reimbursement and smooth data exchange.

1. Stronger central direction

Successful examples of rapid remote monitoring scale-up have one thing in common: some form of central direction. This does not necessarily have to come from a single national delivery organisation, as in the UK. It can also come through a national implementation agreement, with some large health insurers acting as drivers, as in the Netherlands. This can help enforce standardised guidelines for technology platforms and hybrid care pathways. The experience with British virtual wards points in the same direction. The Dutch medical service centre Zorg bij jou is therefore working on uniform hybrid care pathways and monitoring protocols to scale faster.

One way to strengthen central direction at the regional level is to allow more HMO-like structures, in which one organisation provides both insurance and care in a region. Such an organisation can steer care design and innovation scale-up more directly, especially when it also has a financial incentive to do so. Healthcare systems with one delivery organisation per region can also use more directive steering to encourage or enforce scale-up.

2. Supportive reimbursement

Remote monitoring temporarily requires higher spending on IT adjustments and digital platforms, and possibly investment in monitoring or measurement equipment. Changing workflows and training or recruiting staff also requires additional funding. This is a high barrier, especially because profit margins at European hospitals are generally limited, particularly among non-profit and public institutions. Another brake is the risk of lower care revenue if remote monitoring is not reimbursed and fewer hospital visits are not compensated. This matters less under fixed contracts with insurers, and where waiting lists are long, because freed-up capacity can then be used quickly.

If policymakers, delivery organisations or health insurers really want to scale remote monitoring, they need to address these negative incentives in reimbursement. This still happens too little. Funding is limited and reimbursement is fragmented: providers each have their own budgets, sometimes under different healthcare laws. This hampers cooperation and can create perverse incentives. Reimbursement for remote monitoring also does not always cover all costs, especially in the start-up phase when costs per patient are relatively high.

3. Smooth data exchange

Fast exchange of patient data between IT systems, applications and healthcare providers supports the scaling of remote monitoring. Because patients often see multiple providers and use different devices and apps, cooperation between hospitals, GPs and, for example, elderly care providers is needed to coordinate care and monitoring properly. An up-to-date and complete view of a person's medical situation and medication use is crucial for making the right decisions and interpreting monitoring data correctly.

Clear national agreements are needed to make this work. Medical data should be recorded as uniformly as possible and made available through one national platform, or a few interoperable regional platforms, that provide a complete patient view. Belgium, Estonia and Denmark have the most advanced data infrastructure, but many other EU countries still lag. Ireland, and also the Netherlands, still have considerable ground to cover, as shown by OECD figures and a study commissioned by the European Commission. Under the phased implementation of the EHDS regulation, EU citizens should have control over their digital health record by 2031 at the latest and be able to share it smoothly with healthcare providers both within and outside their own country.

Read the extended version of the report in Dutch *here*

Author

Edse Dantuma
Senior Sector Economist, Industry and Healthcare
edse.dantuma@ing.com

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Article | 15 June 2026 UNITED KINGDOM

Iran deal takes Bank of England rate hike back off table

If the deal endures and oil starts flowing again, UK inflation would likely stay below 4% and enable the Bank of England to avoid a rate hike this summer. We expect a 7-2 vote in favour of no change this Thursday

The US-Iran deal has nudged the pendulum back towards a prolonged pause

A rate hike at this Thursday's Bank of England decision had already become highly unlikely. And thereafter, the US-Iran deal has nudged the pendulum back towards a prolonged pause. Markets now price just a 25% chance of a July hike and only one rate increase this year, down from a peak of three.

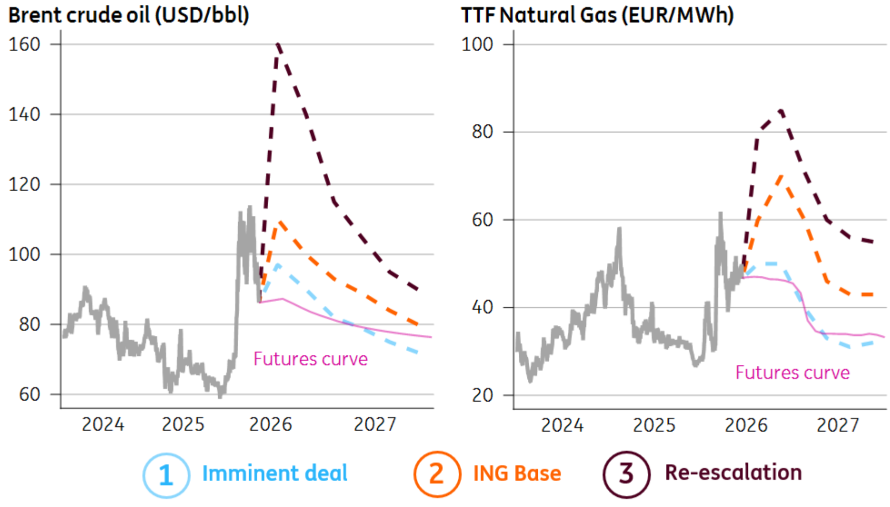
Our view has long been that the Bank is somewhere between doing nothing and hiking once – and 4% inflation is an important line in the sand. The Bank argued last summer that when it exceeds that level, it's more likely that inflation becomes more embedded and second-round effects more likely.

With energy prices where they are today, 4% inflation is unlikely. Natural gas futures for next winter and beyond are back to pre-war levels – and they play a big role in setting the quarterly household energy price cap. That cap is already set to rise 13% in July but if nothing changes, it's likely to fall 7% in October. That would keep UK inflation between 3-3.5% through the autumn/winter. The bar for a rate hike wouldn't be met. Remember, the Bank argues that simply not cutting rates, as was otherwise likely, amounts to a de facto tightening of policy.

That said, our commodities team sees a decent case for energy prices to move higher again – even if the deal agreed this weekend endures. Oil inventories will need rebuilding, while Europe still needs to replenish its gas storage, which sits well below the seasonal average – at a time when Asia will increasingly compete with Europe for LNG supplies.

Even in a scenario where the disruption in the Strait of Hormuz eases significantly through June, our team sees oil averaging $97/bbl in 3Q. Natural gas prices could inch a little higher, too.

ING's scenarios for global energy prices

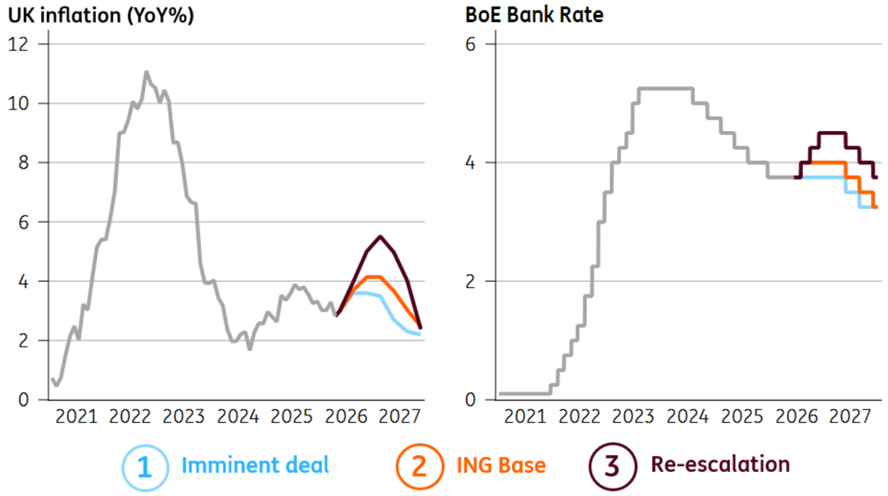


Source: Macrobond, ING

That still probably doesn't warrant rate hikes, though. Our forecasts show inflation would peak around 3.8% in that scenario. And importantly, a sustained reopening of the Strait of Hormuz would shift the balance of risks on inflation. The tail risk of a long, messy period of disruption would diminish.

The problem comes if the US-Iran deal unravels or fails to prevent another summer energy spike. In a scenario where the Strait of Hormuz stays disrupted through June and July, our team reckons oil briefly spikes to $120/bbl in July and natural gas prices surge. That would take inflation above 4% next winter and would make it very hard for the Bank not to hike this summer. That was loosely our global base case when we released our latest numbers last week – and it's why we tentatively added a July rate hike to our forecasts.

What ING's energy scenarios mean for the UK



Source: Macrobond, ING

All of that now looks less likely again, though time will tell. And as for this week's meeting, in the absence of either new forecasts or a press conference, the main question is how many officials join Chief Economist Huw Pill in voting for an immediate rate hike.

Here, we're likely to see a return to the old battle lines that existed on the committee before the war began. Back then, some officials – including Pill – argued that price setting behaviour had permanently shifted since the pandemic in a way that would keep inflation structurally higher. Megan Greene, who subscribes to that view, has all-but-said she'll vote for a hike this week. Catherine Mann, another long-time hawk, could join her. We're expecting a 7-2 vote in favour of no change this week.

But another four members – five if you include Governor Andrew Bailey, who sits somewhere between the two camps – argue that the risk of second round inflation effects have diminished since the last energy shock four years ago. And the latest data suggests they are right.

Headline inflation got pretty close to 4% last year on rising food prices. Yet the latest data shows minimal signs of that morphing into a more persistent bout of price pressure. The jobs market is still under pressure. And private-sector wage growth is likely to fall below 3% in the short-term, which is below the level the Bank said in February was consistent with a 2% inflation target over the medium-term.

That's ultimately why we expect a return to rate cuts in 2027 – something markets aren't currently pricing.

Author

James Smith
Developed Markets Economist, UK
james.smith@ing.com

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Article | 11 June 2026

Lagarde keeps the door open for further ECB rate hikes

European Central Bank President Christine Lagarde s comments at the press conference kept the door to further rate hikes open

ECB President Christine Lagarde at today's press conference in Frankfurt, Germany. A second rate hike after today's decision now appears more likely

The ECB has done it. Today, it became the first major central bank to increase interest rates as part of the fight against stagflationary pressures triggered by the war in the Middle East. It opted for a 25bp hike, bringing the deposit interest rate to 2.25%.

To be clear, this rate hike is more of a symbolic move to signal the ECB's willingness and determination to avoid being too late in carrying out its policy response. It's not a rate hike that will derail the eurozone economy, but a decision made with clear communication and reputation in mind; the risk of doing nothing and potentially falling behind the curve is larger than the risk of any adverse effects on growth from higher interest rates, as suggested by Chief Economist Philip Lane in a recent speech.

More stagflationary pressures in staff projections but no reason for aggressive hikes

During the press conference, ECB President Christine Lagarde mentioned the broadening of inflationary pressures and indirect effects as the main reason for today's rate hike. Still, we can't shake the idea that the ECB is actually fighting ghosts from the past – more specifically, its reaction that came far too late in responding to the inflation shock in 2021 and 2022. Remember that, at the time, the central bank lingered too long on the idea that an inflation surge driven by supply shocks was 'transitory' and could be looked through. If not for the experience of 2022, “transitory” could well be the label used today. So far, the increase in headline inflation has remained moderate. And while the knock-on effects of higher energy prices on other prices (e.g., transportation and food) will be hard to avoid, the latest survey-based inflation expectations have actually come down slightly.

This relatively well-behaved inflation trajectory is also reflected in the ECB’s latest staff projections. Headline inflation is expected to come in at 3.0% this year, 2.3% in 2027 and 2.0% in 2028, slightly up from the March projections. Similar to our own forecasts, ECB staff expect inflation to drop below 2% in the second half of 2027. The GDP growth forecasts come in at 0.8% in 2026, 1.2% in 2027 and 1.5% in 2028, slightly down for 2026 and 2027 compared with the March projections. However, these growth forecasts have not incorporated the recent downward revision of first-quarter growth, meaning that the risk to this growth outlook is even more tilted to the downside than the ECB currently thinks. Overall, this is not a forecast that immediately calls for aggressive rate hikes.

Were there any other signals during the press conference?

During the press conference, Lagarde refuted the phrase ‘insurance rate hike’, claiming that today’s move was nothing of the sort. She did so with almost the same verve with which she rejected the idea of ‘stagflationary pressures’ as well as the comparisons with 2022 at the April ECB meeting. On a more positive note, it seems as though someone, at least, follows our research. In all seriousness, the comment on the insurance rate hike suggests that today’s decision was not a ‘one and done’ hike but rather a shift of the ECB's starting position.

The warning that inflationary pressures were broadening, as well as the emphasis on broadening indirect effects from higher energy prices, suggest that today’s rate hike is not yet the end. However, at the risk of ending up on a blacklist at the ECB, what remains strange is the repetition of data dependency and a meeting-by-meeting approach in the context of the ECB's seemingly clear reaction function. Lagarde’s comments on the different macro scenarios added to the confusion, with the ECB President at one point even mentioning rate cuts. Maybe the best description of the central bank's reaction function is what Lagarde herself mentioned during the press conference: “It will be what it will be.”

All of this means that a second rate hike after today’s decision, either in July or September, has become more likely. Still, as long as the bond market is taking over the ECB's work to tighten the monetary policy stance, governments don't fuel an inflationary spiral with fiscal stimulus, and sentiment indicators remain weak, it’s hard to imagine that the ECB would really want to fight an exogenous supply shock with aggressive rate hikes at the cost of potentially worsening an economic downturn.

Author

Carsten Brzeski
Global Head of Macro
carsten.brzeski@ing.de

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Article | 18 June 2026 FX

FX Daily: Dollar enjoys Fed’s hawkish adjustment

The dollar is largely holding the gains it made on last night s hawkish turn by the Fed. It could strengthen a little further on any upside surprises in US activity or inflation data, but this is not 2022, and any Fed tightening will be an adjustment, not a tightening cycle. Look out for policy rate meetings in Europe, where the Czech National Bank should hike

Dollar holds gains after Fed's hawkish turn, but upside should be modest

USD: Fed story can underpin dollar this summer

Kevin Warsh's debut as Fed Chair delivered a 10bp bearish flattening of the curve and a stronger dollar. As we discuss in our review of the FOMC meeting, the big commitment to price stability and the hawkish swing in the Dot Plots were the key drivers of the move. Whether that hawkish stance gets softened by the findings of the five new Fed task forces remains to be seen. But presumably any results will take quite some time to emerge.

With nine of the 18 Fed members seeing at least one hike this year, the Fed looks prepped to move should inflation continue to drift in the wrong direction. Without any forward guidance in the curtailed FOMC statement or in Warsh's press conference, it will therefore be interesting to see whether Fed members are allowed to say anything about the future policy path in their speeches. These will start next week. Our house view is that inflation could turn a little lower later this year and the Fed can avoid tightening.

The dollar is holding gains, but probably does not need to rally too much more. The market now has 44bp of Fed tightening priced in by the second quarter of next year, which looks close to the type of modest adjustment most Fed members pitched in their Dot Plot projections. And with rate cuts still envisaged for 2027 and 2028, this Fed profile is supportive of the tone we took in this month's FX Talking: Dollar Decline Delayed (not abandoned). After all, this is not 2022, and the Fed is not about to launch another 500bp tightening cycle.

The US focus today will be on the weekly jobless claims, the Philadelphia business outlook and later tonight the April TIC data – the TIC data is so far showing no signs of a foreign exodus from US asset markets. DXY tested the top of its 12-month range at 100.50/60 yesterday. And while the dollar may stay bid, we do not see a catalyst for a major upside breakout. This is especially so given lower energy prices on the US-Iran deal being signed and a supportive risk environment.

Chris Turner

EUR: Steady amid rate meetings in Europe

EUR/USD had a strong test of 1.1500 on the hawkish FOMC last night, but there might not be too much appetite to take it substantially lower just now. The ball is now back in the ECB's court and whether it chooses to hike in the July or September meetings – or not hike rates at all. At this stage, and given the house view that the Fed is not going to hike, 1.14/1.15 can remain the lower end of the range this summer. On the data front today, we will see the ECB's current account data for April. This could continue to narrow in the higher energy bill seen at the time.

Elsewhere, we have rate meetings in Switzerland and Norway in early Europe. We see the Swiss National Bank on a prolonged pause. There could be some slight upside risk to EUR/CHF today not only from a neutral SNB, but also from higher global rates in general after last night's Fed and some potentially better news out of the Middle East. EUR/CHF can head back to the 09250 area.

Chris Turner

In Norway, we expect a Norges Bank hold today, in line with consensus. This after the collapse in oil prices and some implicit hints at a pause in May. At the same time, we think markets may be underestimating the chances of a surprise hike today (only 4bp priced in).

Underlying CPI accelerated to 3.4% in May, and Norges Bank's inflation concerns have been broader and predate the war. So if it holds as we expect, there are good chances it'll strike a hawkish tone, keeping the door wide open to another hike in the coming months. Market pricing is 22bp by September, and may shift to expect a hike in August. We therefore see some upside risks for NOK.

Franceso Pesole

GBP: BoE will try to ride out the inflation spike

The highlight of today's session is the Bank of England meeting at 1300CET. This comes after this morning's release of private sector wage growth at 2.9% three-months/year-on-year – the first 3% number since 2020. Combined with generally soft employment figures, today's data provides fuel to the views from the BoE doves that the risks of second-round inflation effects are low.

Please see our full BoE preview here. Our call is for a 7-2 vote for unchanged policy (slight risk of 6-3), but presumably the need to sound hawkish to ride out this inflation shock. Our bottom line, however, is that inflation is going to peak around the 3.5% area later this year and the BoE will avoid tightening.

Expect more pressure on GBP/USD as the dollar enjoys a run against those currencies whose central banks are trying to avoid tightening this year – such as in Canada and Sweden. GBP/USD could drift to the 1.3200 area over the coming weeks.

There is also the small matter of the Makerfield by-election. Assuming Andy Burnham wins, the focus will quickly switch to whether PM Starmer quietly plans his succession or fights on. Neither of which looks good for sterling. EUR/GBP looks biased to 0.8680/8700.

Chris Turner

CZK: Insurance rate hike supports further koruna gains

The Czech National Bank is likely to raise rates by 25bp to 3.75% today, the first time since mid-2021. Although headline inflation surprised down to 2.1% in May, core inflation rose to 2.9%. At the same time, 1Q26 wages surprised to the upside, although much of it follows downward revisions in previous quarters. The reasons for the hike are therefore more local than directly related to the US-Iran conflict. However, the central bank probably sees risks to the upside and wants to hike rates pre-emptively for safety. We expect such communication from the governor today without a commitment to another hike but with an open space for further increases if necessary.

Our economists' baseline remains one hike, but the bar for another hike is relatively low given the core inflation of 2.9% in May. If we were to see core inflation going above 3.2% in the coming months and, at the same time the ECB continuing with rate hikes, where one more hike is our baseline, this could create grounds for another CNB hike later.

Given the end of the US-Iran conflict and the decline in oil prices, the market has priced out a large portion of the rate hikes and has stabilised pricing around 2x25bp, including today's session, which seems almost fully priced in. If the CNB delivers a rate hike coupled with hawkish communication, which is our baseline, we see one additional hike as a floor for what the market can price in and we see upside for rates here.

EUR/CZK is grinding lower from mid-May and goes into today's meeting from levels slightly below 24.150. Due to the CNB's hawkishness, we remain bullish on the koruna and see a case for testing 24.000 if the CNB delivers a hike and maintains a hawkish bias.

Frantisek Taborsky

Author

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

Frantisek Taborsky
EMEA FX & FI Strategist
frantisek.taborsky@ing.com

Francesco Pesole
FX Strategist
francesco.pesole@ing.com

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Article | 18 June 2026 COMMODITIES DAILY

The Commodities Feed: Oil falls as US-Iran sign deal

Oil prices extend declines as the US and Iran sign a peace agreement, with Middle East supply expected to recover sooner than previously anticipated. Sentiment is further weighed by the IEA's weaker 2026 demand outlook

Oil prices extend declines as the US and Iran sign a peace agreement

Energy – WTI moves below $75/bbl

ICE Brent fell to its lowest since early March, while NYMEX WTI dropped more than 2% to below $75/bbl on Thursday morning. The move follows a fast-tracked US-Iran peace agreement, with terms effective immediately, including the reopening of the Strait of Hormuz and a halt to fighting. Iran expects a swift lifting of US oil sanctions, supporting a return of exports. However, uncertainty remains about how quickly flows can normalise, with ramp-up timelines dependent on operational, logistical and sanction-related adjustments.

The IEA's latest monthly report adds to the bearish tone. It now sees global oil demand falling by 1.1m b/d in 2026, compared with a 700k b/d decline previously. Demand is expected to rebound by 2m b/d in 2027 amid normalising trade flows, lower prices and improved economic conditions. On the supply side, output is forecast to drop by 3.9m b/d to 102.4m b/d in 2026, before rising by 8m b/d in 2027.

US inventory data was tighter. EIA figures show crude stocks fell by 8.3m barrels last week, well above expectations and the largest draw since mid-February, broadly in line with the API data. The decline reflects seasonal demand strength. Commercial inventories stand just above 418m barrels, around 6% below the five-year average, with cumulative draws of 47.5m barrels over the past two months. Including SPR flows, total stockpiles declined for a tenth consecutive week to 758.5m barrels, the lowest since 1985. Cushing inventories fell to just above 20m barrels, the lowest since October 2014. Imports dropped by 754k b/d, while exports eased to 4.3m b/d. Refinery utilisation increased to 96.7%.

Product inventories were mixed, with gasoline stocks falling by 906k barrels, while distillates rose by 951k barrels.

In gas, funds continued to reduce net long positions in TTF, selling 24.2TWh over the past week, leaving a net long of 234.9TWh. Expectations of a reopening of the Strait of Hormuz are likely to sustain further liquidation pressure.

Metals – Gold rebounds despite hawkish Fed

Gold rose in Asian trading, recovering losses from the previous session as investors balanced a more hawkish Federal Reserve outlook with lingering geopolitical uncertainty. An interim US-Iran peace agreement helped ease concerns over energy supply disruptions, pushing oil prices lower and supporting risk sentiment.

While markets are increasingly pricing in a Fed rate hike later this year, uncertainty over the implementation of the agreement and the reopening of the Strait of Hormuz continued to underpin safe-haven demand. Spot gold climbed back above $4,320/oz, recouping much of Wednesday's decline.

Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

Warren Patterson
Head of Commodities Strategy
Warren.Patterson@ing.com

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Article | 17 June 2026

RATES SPARK

Rates Spark: Warsh’s Fed takes inflation seriously

The 10yr yield is up, back to the 4.45% area. The rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation. Long-dated yields are liable to remain sticky to the upside. In the UK, we think markets are too hawkish on the Bank of England, but we won t be turning bullish yet given inflation risks and political uncertainty

We, along with the market, expect the Bank of England to keep rates on hold at 3.75%

The Treasury curve shifts higher and flatter, but the curve structure remains benign

What was interesting from Warsh’s first FOMC outcome is a clear message to markets that the Federal Reserve sees inflation as an issue to be solved, and if they do identify an inflation problem, they are prepared to act. Not exactly what was expected when President Trump gave the job to Warsh. But it does add a proper layer of credibility to Warsh’s FOMC. This is important, as it has the power to at least tame the back end of the curve. But note, rate hikes don’t necessarily need to be delivered. We don’t think the Fed needs to hike. But we can’t rule out a hike. Importantly, if there was a hike, we’d expect to see it subsequently reversed. The curve structure telegraphs this.

Impact reaction to the FOMC outcome was a flatter curve, led by the front end. That bit is straightforward given the change in tone of the FOMC as a whole, and the upshift in the median dots. The 10yr yield is up, back to the 4.45% area, and rising. What's interesting is the breakout of this, as the breakeven inflation rate fell, while the real rate rose. The aggregate rise in the 10yr yield came from a bigger pop in the real yield versus the fall in breakeven inflation.

This has been a key theme in the past few months – ongoing upside to real rates, alongside falls in inflation expectations. In fact, breakeven inflation is on aggregate quite tame. Printed inflation is in the 4% area, while the 10yr breakeven is just under 2.3%. And in fact, breakevens remain tame right along the curve. Our bottom line view from all of this is that long-dated yields are liable to remain sticky to the upside (breakevens are already tame and real yields are on the rise, or at the very least holding steady).

The hawkish tilt is classically not good for the front end, and theoretically, it can be a calming influence for the back end, on a theory that the Fed is showing some preparedness to take action, if needed, to help tame inflation. The overall outcome of a flatter curve based on this is straightforward. We still worry that the 10yr yield can drift higher from here, to the 4.5% area and above. That said, the 5yr area has richened further slightly, showing the market is not fully bought in on rate hikes being a dominant theme in the coming quarters.

Beyond that, we had expected something on balance sheet management, but little to nothing on this. The bill-buying programme continues, and the ample reserves environment is sustained. It seems that the balance sheet reduction project is all being left to another day.

We show patience before turning more bullish on GBP rates

Markets think the Bank of England will hold rates at 3.75% at this meeting, and so do we. We still think markets' pricing of a hike later this year is overdone, however. A terminal rate of 4% seems too high, especially when underlying inflation dynamics are improving. And compared to 2022, gas prices have risen significantly less, and also wage growth has turned more benign.

But at the same time, we refrain from taking a more bullish stance from a tactical perspective. For one, we still see significant upside risks to oil prices given the fragile backdrop of the current deal. Meanwhile, markets won't be comfortable about second-round risks until later this year, when we have more data. Unless we see a strong downturn in economic activity, we expect rates to remain elevated for the coming months.

In addition, we have political risks adding into the mix. Burnham is likely to get closer to replacing Starmer as Prime Minister and that brings along new fiscal risks. We estimate that the 10Y gilt yield bears a risk premium of some 15bp currently, which is higher than a few weeks ago, but still below the 25bp in the period leading to the Reeves budget last November. Even though we don't think Burnham will have a big impact on the Bank of England's trajectory, we do understand that markets will stick to a risk premium for the time being.

Tuesday's events and market views

After jobs data in the morning, UK markets will be watching the Bank of England meeting. Other releases include weekly US jobless claims and the foreign US Treasury holdings data. We also have plenty of ECB speakers scheduled, which could offer more insights on the ECB's reaction function after oil turned significantly lower.

Italy will continue its retail issuance of 5y BTP Italia Si with an estimated size of €10-15bn. Spain will auction 7y, 10y and 14y SPGBs for a total of €6bn. France will auction 3y, 6y and 8y OATs for €14bn, alongside 6y, 12y and 14y OATei, including a green tranche for €1.5bn. The US will auction $24bn of 5y TIPS.

Author

Padhraic Garvey, CFA
Regional Head of Research, Americas
padhraic.garvey@ing.com

Michiel Tukker
Senior UK & Eurozone Rates Strategist
michiel.tukker@ing.com

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Article | 17 June 2026 FX SWITZERLAND

Swiss National Bank preview: Little reason to move

The Swiss National Bank meets tomorrow and is expected to keep its policy rate unchanged at 0% amid subdued inflation

Martin Schlegel, Chairman of the SNB's Governing Board

Inflation remains under control

Rising energy prices have pushed inflation higher across much of the world, but Switzerland has been largely shielded from this trend. Headline inflation stood at 0.6% year-on-year in May, unchanged from April.

Energy prices have, of course, increased in Switzerland (+17.7% year-on-year for petroleum products) as they have elsewhere. Still, the strength of the Swiss franc continues to exert a significant disinflationary effect. Imported goods, which account for 22% of the consumer price index, rose by only 0.7% year-on-year in May. This marks a clear shift after three years of declining import prices, but it remains well within the SNB's comfort zone.

Domestic inflationary pressures are also contained, with prices rising by 0.6% year-on-year in May.

All in all, inflation in Switzerland has picked up from the 0.1% observed at the start of the year, but remains comfortably within the SNB's 0-2% target range. Early-year deflation fears have receded for now, while the risk of a sharp inflation increase in the coming months appears negligible. There is therefore little reason for the SNB to adjust interest rates at its June meeting.

Inflation outlook and FX interventions in focus

That said, two aspects will be closely watched tomorrow.

First, the SNB's medium-term inflation projections. In March, these stood at 0.5% on average for both 2026 and 2027, and 0.6% for 2028. A modest upward revision would carry limited implications for monetary policy. With inflation still firmly within the 0-2% target range, a rate hike remains unlikely in the foreseeable future.

Conversely, a downward revision could signal renewed concern about deflationary pressures once the impact of recent energy price increases fades. Even so, such adjustments would not justify a policy move this month. We expect rates to remain at 0% over the next two years.

Second, close attention will be paid to any comments on foreign exchange interventions. The Swiss franc has appreciated in effective terms over the past 12 months, although upward pressures have eased since early March, when the SNB explicitly indicated a greater willingness to intervene.

Importantly, in real effective terms, the franc has not become more expensive, thanks to lower inflation in Switzerland compared with its peers. This is the metric the SNB monitors most closely. With Swiss inflation set to remain persistently lower than elsewhere, concerns about excessive currency strength should remain contained.

Overall, the Swiss backdrop appears more favourable for the SNB in June than it did in March, and certainly more comfortable than for most other central banks. This should allow policymakers to remain firmly on hold. Any meaningful shift in tone would come as a surprise.

Charlotte de Montpellier

EUR/CHF: SNB would prefer higher levels

The exchange rate is an important monetary policy tool for a small, open economy such as Switzerland. And let's not forget that during Switzerland's last major inflation shock in 2022 and 2023, the SNB actively used a stronger Swiss franc to tighten policy. In fact, in the five quarters from the fourth quarter of 2022 to the end of 2023, the SNB sold CHF160bn of FX to drive franc strength and fight inflation.

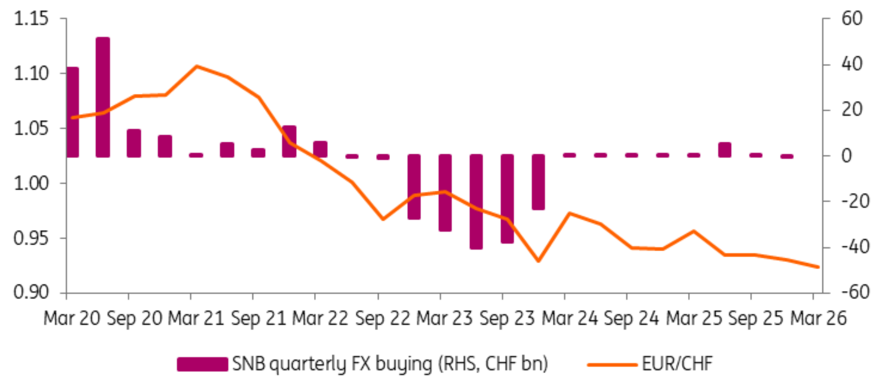
While other central banks have hiked or are considering hiking this year, Switzerland's starting point of low inflation means that the SNB is in no hurry to tighten or to start selling EUR/CHF again. Indeed, its current position is to show a greater willingness to intervene to curb further franc gains. 30 June will see the central bank release figures of FX intervention for the first quarter, where FX buying could exceed the CHF5bn undertaken in the second quarter of 2025.

Yet the SNB has also been sounding relaxed around the exchange rate, citing lower Swiss inflation relative to trading partners keeping the real Swiss franc level contained. While the nominal trade-weighted franc has risen 30% since 2020, the inflation-adjusted franc has only risen 6%.

Adding in the franc's status as a safe haven on geopolitics and a play on the dollar de-basement trade builds quite a mixed picture of the currency. Our baseline sees EUR/CHF continuing to trade around these 0.92 levels for a while with some upside risks over the summer if the European Central Bank does indeed hike in July or September. In terms of its short-term reaction to the SNB meeting, we doubt the SNB needs to sound hawkish and could see EUR/CHF edge a little higher if it pushes the message of a prolonged pause.

Chris Turner

SNB's FX intervention activity since 2020



Source: SNB, ING

Author

Charlotte de Montpellier
Senior Economist, France and Switzerland
charlotte.de.montpellier@ing.com

Chris Turner
Global Head of Markets and Regional Head of Research for UK & CEE
chris.turner@ing.com

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REAL ESTATE BELGIUM

Airbnb only part of Belgium's housing affordability problem

Short term rentals via platforms such as Airbnb reduce available housing supply in Belgium, adding pressure to an already tight housing market – but this is only part of the story

Structural bottlenecks lie at the heart of housing affordability challenges in Belgium

Short-term rentals: a small but meaningful share of housing supply

Online booking platforms have surged in popularity among both travellers and hosts in recent years.

In 2024, around 1.23 million stays were booked via these platforms in Belgium, accounting for 12.3 million overnight stays. In 2025, the 10 million overnight stay threshold had already been surpassed in the first three quarters of the year.

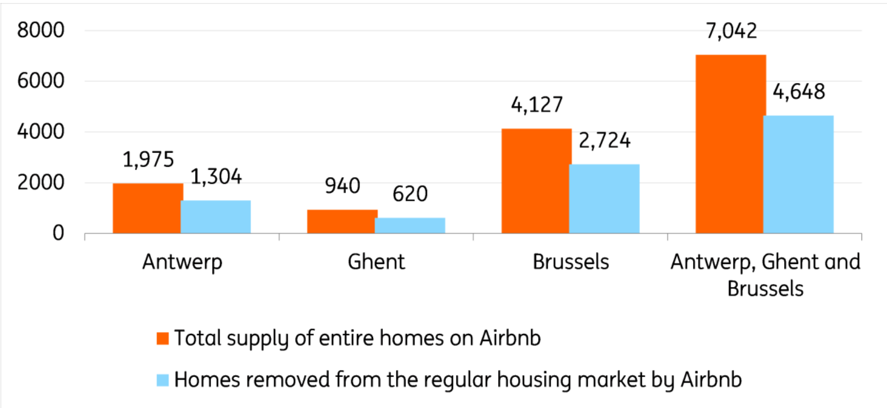
While this strong growth highlights the increasing importance of short-term rentals, it also has implications for the housing market, particularly in high-demand urban and tourist areas. At the same time, structurally higher interest rates and rising house prices have reduced housing affordability. The homeownership rate declined from 72.4% in 2022 to 70.9% in 2025, accompanied by a growing number of renters, further increasing pressure on rental markets.

Against this backdrop, we estimate the impact of short-term rentals via sites like Airbnb in regions where data on entire homes is available, namely the Brussels-Capital Region, Antwerp and Ghent. These areas are characterised by persistently tight housing markets and rank among the most expensive rental markets in Belgium.

Our estimates suggest that Airbnb removes around 3,000 homes from the regular housing supply in Brussels alone, with a further nearly 2,000 homes in Antwerp and Ghent combined. In total, this corresponds to roughly 0.8% of the rental housing stock being unavailable for permanent occupancy due to short-term rentals. This share is likely higher when accounting for other platforms such as Booking.com and Expedia.

While this confirms that short-term rentals contribute to housing market pressures, they remain only one part of the story and are not the main driver of housing affordability challenges in Belgium.

Airbnb is estimated to have removed nearly 5,000 homes from the regular housing market



Source: Inside Airbnb, BISA, own calculations ING

Structural bottlenecks lie at the heart of housing affordability challenges

While a legislative framework to regulate short-term rentals has been in place for some time in Belgium, its impact has been limited due to low compliance. The new European regulation that entered into force in May aims to address this by requiring platforms to share data. A key next step is the creation of a national registration system, which could bring an estimated 1,800 out of 4,650 homes back to the regular housing market.

However, this alone will not be sufficient to ease pressures on the Belgian rental market. Structural bottlenecks remain the main constraint:

- **Low construction activity:** Despite a slight uptick in early 2026, building permits remain at historically low levels.
- **Mismatch between supply and demand:** New construction is increasingly misaligned with demand. Apartment permits are declining (−8% YoY) despite rising demand for smaller units, while permits for single-family homes are increasing (+17% YoY), potentially widening the mismatch.
- **Rising construction and financing costs:** Higher energy prices, more expensive building materials, and elevated long-term interest rates are increasing costs for both developers and buyers, weighing on new construction. At the same time, construction sector bankruptcies rose again in early 2026 (+3.3% YoY), further slowing supply.
- **Regulatory framework and supply effects:** Housing regulation has tightened significantly in recent years. While stricter rules pursue legitimate objectives, they may have unintended consequences. Evidence shows that measures such as rent caps can reduce rental supply, dampen construction, and lower market turnover.

Addressing short-term rentals can therefore help alleviate part of the pressure, but its impact on overall housing affordability will remain limited. Improving affordability requires tackling these structural constraints. This involves, above all, ensuring that housing supply better reflects changing demand, including by encouraging the development of smaller units.

At the same time, a stable investment climate is needed to support construction and renovation, while new regulations on housing quality and energy performance should be designed to avoid further constraining supply.

Author

Alissa Lefebre
Economist
alissa.lefebre@ing.com

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Article | 12 June 2026 COMMODITIES, FOOD & AGRI

What's next for US copper import tariffs

The US tariff decision on copper imports is weeks away, with the Commerce Secretary due to deliver a recommendation to President Donald Trump by 30 June. The market has already begun pricing the outcome. The COMEX-LME spread has widened to around $400/t, suggesting the market continues to price meaningful tariff risk into US-delivered refined copper

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are supporting copper prices

Where we are now

LME copper is trading near record highs, with prices up around 10% year-to-date and holding up well against a difficult macro backdrop. Strong US jobs data has reinforced expectations that the Federal Reserve will keep policy restrictive for longer, while renewed tensions involving Iran have weighed on broader risk sentiment.

Supply tightness, US tariff-driven stockpiling and AI-linked power demand are keeping copper more resilient than the broader complex, with the tariff decision now only weeks away.

What the tariff decision looks like

When President Trump announced a 50% tariff on copper in July 2025, refined copper was carved out. That exemption is now under review. The Commerce Secretary has until 30 June to deliver an updated recommendation to Trump on whether and how to extend tariffs to refined copper. The original Commerce Department proposal called for a 15% tariff on refined copper imports effective January 2027, escalating to 30% in 2028.

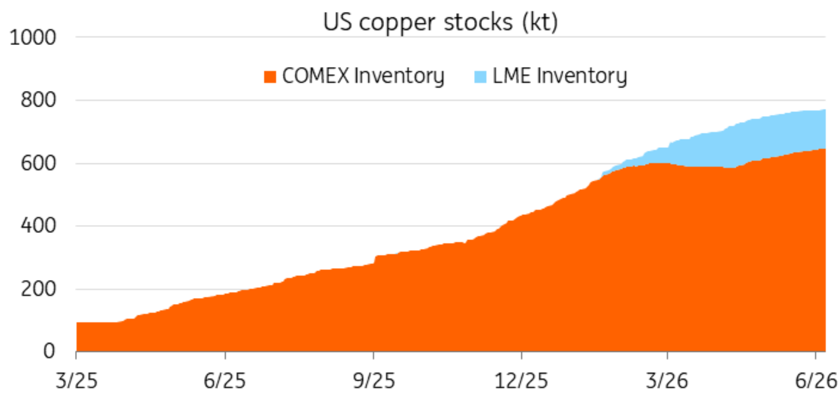
Earlier this month, Trump signed a proclamation adjusting the broader metals tariff framework – maintaining the 50% tariff on semi-finished copper products, lowering the domestic content threshold from 95% to 85% to qualify for preferential treatment, and broadening the scope to include additional semi-fabricated products such as electrical conductors and cables. New rates took effect 8 June. These changes are widely seen as preparatory steps ahead of the refined copper review, making it easier for importers to qualify for preferential treatment tied to domestically produced metal.

How the market has already repositioned

Since February, US copper imports have spiked in anticipation of the tariff deadline, encouraging additional shipments into the US and tightening supply in other regions.

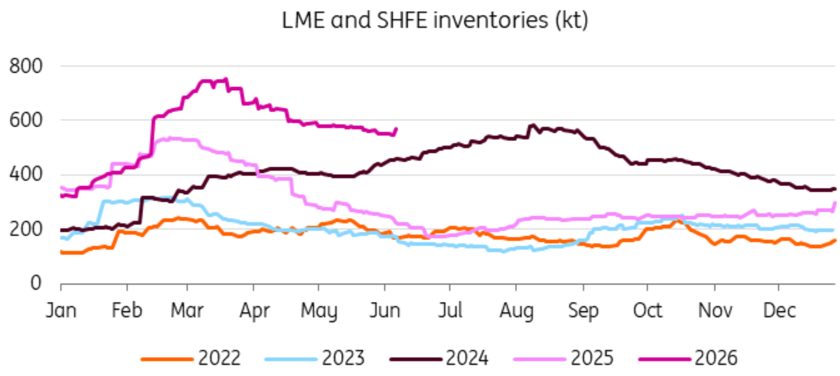
COMEX-registered inventories have risen to record highs. That build has come directly at the expense of LME and SHFE stocks, which have declined sharply over the same period.

COMEX stocks hit records, LME inventories also trend higher



Source: COMEX, LME, ING Research

Meanwhile ex-US inventories have declined sharply

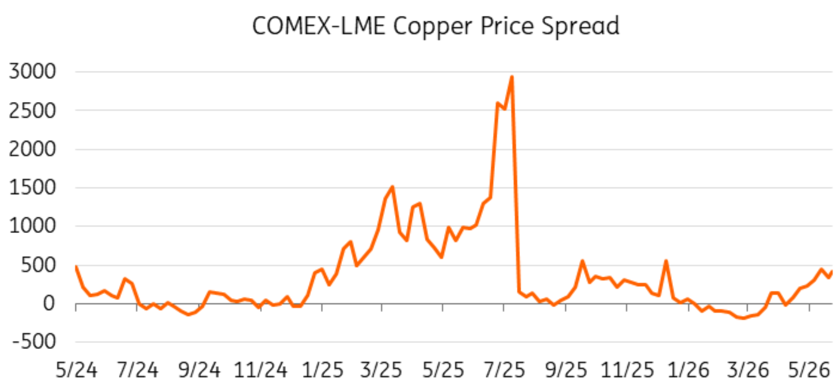


Source: LME, SHFE, ING Research

This is not a demand-driven inventory build. It reflects a geographic redistribution of available metal driven by tariff arbitrage. A significant volume of copper cathode is now economically 'locked' into the US market. While some of this metal could eventually be released if tariff expectations fade, the prospect of further trade policy measures means inventories are increasingly being held as strategic rather than ‘arbitrageable’.

The COMEX-LME spread began re-widening from early 2026 as the 30 June deadline came into focus. It turned positive again in late March and has been climbing since, reaching around $400/t in early June. At current levels, the spread is well below the peak of around $2,937/t seen in late July 2025 when a 50% tariff on all copper was briefly feared. This suggests the market views a 15% phased tariff as a much more contained outcome.

COMEX-LME copper spread rewidens



Source: COMEX, LME, ING Research

What happens after the announcement

A confirmed 15% phased tariff from 1 January 2027 would likely increase the premium of COMEX over LME copper. In practice, both benchmarks would move higher. COMEX would be supported by stronger US import demand, while LME would also benefit as metal diverted away from the US tightens supply availability elsewhere.

The overall impact would be supportive for copper prices globally, although the larger move would likely occur in COMEX.

If the proposed increase to 30% in 2028 is brought forward or confirmed as a near-term policy objective, the premium could expand further.

A delay represents the clearest near-term downside risk for the spread, although the impact would likely be more limited than an outright rejection of tariffs. The arb would compress and the pace of inflows into COMEX would slow – but material already stockpiled in the US is unlikely to leave the market quickly. As long as tariff risks remain, a significant portion of those stocks is likely to remain effectively locked within the US market. The spread would narrow, but would probably settle at a structurally wider level than pre-2025 norms rather than collapsing back to parity.

An outright rejection of tariffs remains the most bearish case. US import demand would drop sharply, and with the stockpiling incentive removed, both benchmarks would likely come under pressure. US-held metal could then potentially re-enter the global market or at least stop being 'locked' in the US.

Supply outlook remains tight

We forecast the global copper market to move into a deficit of around 35kt in 2026, reflecting mine supply losses across Indonesia, Chile, the DRC and Zambia, alongside disruptions to Middle Eastern sulphur flows and sustained end-use demand in electrification and grid infrastructure. The tariff outcome does not change that underlying market balance. However, it will determine how quickly the deficit becomes visible in exchange inventory data and how the price gap between COMEX and LME evolves.

We see LME copper broadly supported at current levels through 2Q, before easing modestly into 3Q and 4Q as the initial tariff stockpiling impulse fades and macro headwinds persist. The tariff announcement itself represents near-term upside risk to our near-term forecast. A front-loaded 30% tariff would put further upside in play. Conversely, a delay or outright rejection of tariffs represents the clearest downside risk to our view over the second half of the year.

The 30 June deadline and the COMEX-LME spread are the two indicators to watch most closely over the coming weeks.

Author

Ewa Manthey
Commodities Strategist
ewa.manthey@ing.com

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